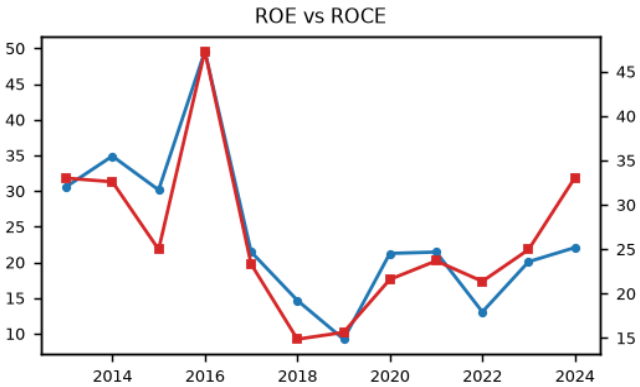
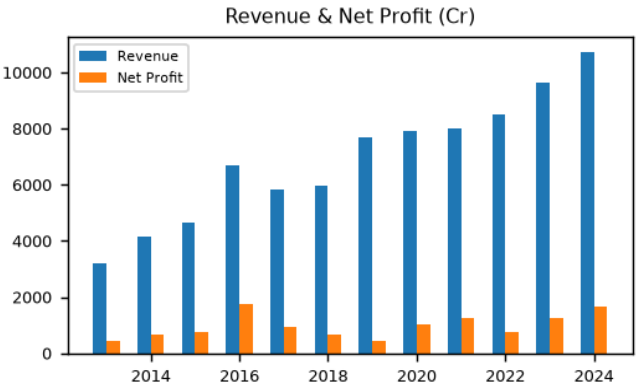
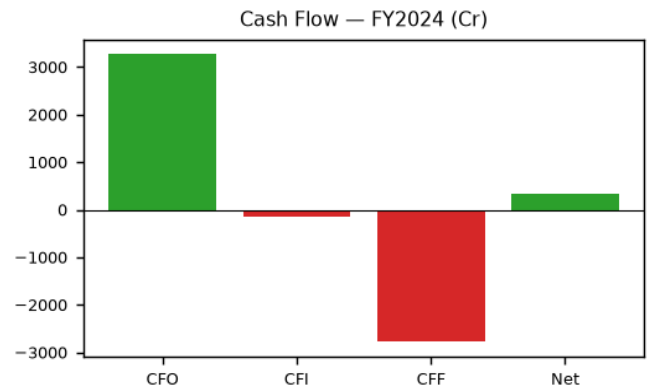
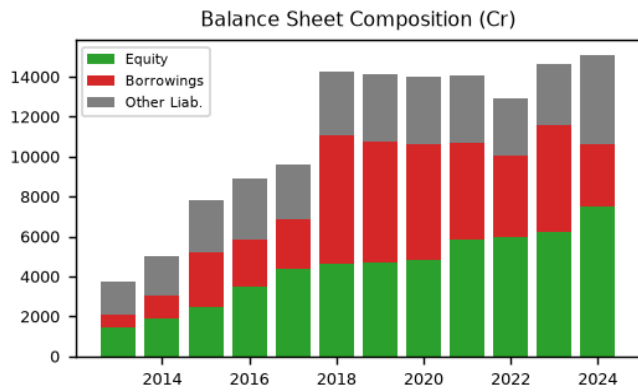


Torrent Pharmaceuticals Ltd (TORNTPHARM)

Healthcare · Fiscal Year 2024

ROE 22.1%	ROCE 33.1%	Net Profit Margin 15.4%
D/E 0.4	Revenue CAGR 5yr 6.9%	FCF (Cr) 3,106





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Debt-to-equity ratio of 0.42 is elevated for a non-financial company and warrants monitoring

Capital Allocation: Shareholder Returns